CV-25-012491 FRELIX, ANTONIO vs OAKLAND MOTOR CARS INC – Defendant’s Petition to Compel Arbitration, Dismiss Putative Class Claims, and Stay Proceedings – GRANTED.

County: stanislaus

Division: Civil Law and Motion

Department: 24

Hearing date: 2012-04-02

Motion: The Court finds that Defendant has discharged its burden of demonstrating evidence of a written agreement between the parties regarding the present dispute according to the terms of the arbitration between Plaintiff and Oakland Motor Cars Co, executed by Plaintiff on December 30, 2024. Brockman v. Kaiser Found. Hosps. (2025) 114 Cal. App. 5th 569, reh'g denied Oct. 16, 2025; Gamboa, v NorthEast Community Clinic (2021) 72 Cal. App. 5th 158; Mendoza v. Trans Valley Transp. (2022) 75 Cal. App. 5th 748. The Court further finds that Plaintiff does not dispute the existence of an executed arbitration agreement between Plaintiff and Defendant Oakland Motor Cars Co. covering the present dispute. A procedural unconscionability analysis begins with an inquiry into whether the contract is one of adhesion. Swain v. LaserAway Med. Grp., Inc. (2020), 57 Cal. App. 5th 59, as modified (Nov. 3, 2020). However, procedural unconscionability alone does not invalidate a contract but requires courts to closely scrutinize the substantive terms to ensure they are not manifestly unfair or one-sided. OTO, L.L.C. v. Kho (2019) 8 Cal. 5th 111, 447; Stoker v. Blue Origin, LLC (2026) 120 Cal. App. 5th 91. Furthermore, when there is no other indication of oppression or surprise, the degree of procedural unconscionability of an adhesion agreement is low, and the agreement will be enforceable unless the degree of substantive unconscionability is high. Ajamian v. CantorCO2e, L.P. (2012) 203 Cal. App. 4th 771. Notably, the degree of unfairness required for unconscionability of an arbitration agreement must be as rigorous and demanding for arbitration clauses as for any other contract clause. OTO, L.L.C. v. Kho, supra. The court finds, to the extent that the arbitration agreement was a contract of adhesion, that it exhibits a baseline, low degree of procedural unconscionability. Swain v. LaserAway Med. Grp., Inc. (2020) 57 Cal. App. 5th 59, as modified (Nov. 3, 2020). Evidence of lack of negotiation and meaningful choice, and/or surprise, where the allegedly unconscionable provision is hidden within a prolix printed form would support a finding of procedural unconscionability. Swain v. LaserAway Med. Grp., Inc. (2020) 57 Cal. App. 5th 59, as modified (Nov. 3, 2020). Among the court’s considerations in determining whether a contract was procedurally unconscionable, in addition to the issue of adhesion, is the length of the proposed contract and the length and complexity of the challenged provision. The court finds here that the arbitration agreement is included on the 6th page of an 8-page Vehicle Salesperson Compensation Program, has its own subheading in bold capitals and is quite lengthy, comprising a single paragraph of about 63 lines, covering about a page and a half of writing overall, with regular sized font containing legal jargon. However, apart from the provision that lists the types of disputes subject to arbitration, the remaining sentences of the arbitration agreement are not unduly long and are written in easy-to-understand sentences. Additionally, Plaintiff’s execution of three arbitration agreements with Defendant prior to the one at issue does not support a finding of surprise. Overall, the court finds that the arbitration agreement at issue supports a low to moderate degree of procedural unconscionability. The ultimate issue in every case of substantive unconscionability is whether the terms of the contract are sufficiently unfair, in view of all relevant circumstances, that a court should withhold enforcement. Ramirez v. Charter Communications, Inc. (2024) 16 Cal. 5th 478. As to substantive unconscionability, the court finds a lack of substantive unconscionability herein. Specifically, the agreement provides for adequate discovery and does not impose unreasonable costs as a condition of access to the arbitration forum. Haydon v. Elegance at Dublin (2023) 97 Cal. App. 5th 1280. Additionally, due to the express application of said Code of Civil Procedure § 1284.2 and Plaintiff’s failure to demonstrate an inability to pay any potentially applicable arbitration fees or costs, the court finds that Plaintiff has not demonstrated that said fee provision of the California Arbitration Act is substantively unconscionable. Gutierrez v. Autowest, Inc. (2003), 114 Cal. App. 4th 77, modified on denial of rehearing; Haydon v. Elegance at Dublin, (2023) 97 Cal. App. 5th 1280. According to the parties’ arbitration agreement, only individual claims may be arbitrated. Moreover, in light of the Viking River Cruises followed by the California Supreme Court decision in Adolph v. Uber Techs., Inc., it seems clear that Plaintiff’s individual Private Attorney General Act (PAGA) claims may be compelled to arbitration under the terms of the parties’ arbitration agreement and in line with California’s policy of permitting individual PAGA claims to be severed and compelled to arbitration. Viking River Cruises, Inc. v. Moriana (2022) 142 S. Ct. 1906, reh'g denied, 143 S. Ct. 6; Adolph v. Uber Techs., Inc. (2023) 14 Cal. 5th 1104. Furthermore, as held by Adolph v Uber Technologies, an aggrieved employee retains standing to pursue a representative PAGA action even after arbitrating his individual claims. Adolph v Uber Techs Inc. (2023) 14 Cal. 5th 1104. Plaintiff’s contentions as to the existence of a confidentiality provision herein are without merit. Civil Code § 47 (b) is also known as the official proceeding privilege and it applies to any communication: (1) made in judicial or quasi-judicial proceedings; (2) by litigants or other participants authorized by law; (3) to achieve the objects of the litigation; and (4) that have some connection or logical relation to the action. Hawran v. Hixson (2012) 209 Cal. App. 4th 256. This is distinguishable from Plaintiff’s contentions as to confidentiality which are inapplicable here. Plaintiff's claims as to substantive unconscionability based on the arbitration of harassment claims which would include sexual harassment claims covered by the Ending Forced Arbitration of Sexual Assault and Sexual Harassment Act (EFAA 9 USC section 401 and 402), which contains a prohibition on pre-dispute arbitration agreements for sexual harassment claims, are without merit as the statute gives the party alleging sexual harassment the option to elect to proceed with their claims per the pre-dispute agreement in arbitration or not. 9 U.S.C.A. § 402 The Court also finds that Plaintiff's Unfair Competition Law claims, causes of action 10 and 11 in the First Amended Complaint, do not seek injunctive relief but only declarative relief. Injunctive relief is sought as to the PAGA claim which, as above noted, is not prohibited from being pursued in a representative action in court. The claimed injunctive relief would therefore still be available to Plaintiff. Plaintiffs' argument in this regard is therefore without merit. An entity seeking to compel arbitration must generally establish it was a party to an arbitration agreement. Jarboe v. Hanlees Auto Grp., (2020) 53 Cal. App. 5th 539. Because arbitration is a matter of contract, a non-signatory to an arbitration agreement generally cannot invoke it. Ballesteros v. Ford Motor Co. (2025) 109 Cal. App. 5th 1196, review dismissed, cause remanded. The arbitration agreement here was executed by Plaintiff and Defendant Oakland Motor Cars Inc.'s General Manager and President. None of the other Defendants were a party to or executed the arbitration agreement. However, the agency exception to the general rule that only a party to an arbitration agreement may enforce it provides that a defendant may enforce the arbitration agreement, when a plaintiff alleges a defendant acted as an agent of a party to an arbitration agreement. Najarro v. Superior Ct. (2021) 70 Cal. App. 5th 871, as modified (Oct. 22, 2021). The First Amended Complaint alleges that all the Defendants are agents, alter egos or employees of each other. To that extent, the agency exception would be applicable here and permits the non-signatory Defendants to enforce the arbitration agreement against Plaintiff herein. The doctrine of equitable estoppel seeks to hold a non-signatory liable pursuant to duties imposed by the agreement, which contains an arbitration provision, but, on the other hand, deny arbitration's applicability because the defendant is a non-signatory. Felisilda v. FCA US LLC (2020) 53 Cal. App. 5th 486, disapproved of by Ford Motor Warranty Cases (2025)17 Cal. 5th 1122; Ballesteros v. Ford Motor Co. (2025) 109 Cal. App. 5th 1196, review dismissed, cause remanded. However, the application of this doctrine requires that the causes of action against the non-signatory are intimately founded in and intertwined with the underlying contract obligations. The court finds that the causes of action against the non-signatory Defendants arise from the same facts (Defendants' alleged Labor Code violations) and are inherently inseparable from the arbitrable claims against the signatory defendant. Equitable Estoppel is therefore applicable hereto to make Plaintiff's claims against the non-signatory Defendants subject to arbitration. In the absence of any substantively unconscionable provisions here, the Court finds that the arbitration agreement is enforceable and no severance is required. Civil Code § 1670.5; Ramirez v Charter Communications, supra; 9 U.S.C.A. § 2; Code of Civil Procedure Section 1281.2 Accordingly, Defendant's Motion is hereby granted. Plaintiff's individual claims are hereby compelled to arbitration, Plaintiff's putative class claims are dismissed, and this matter is stayed pending the conclusion of said arbitration. 9 U.S.C.A. § 3; Civ Proc. Code § 1281.4; Adolph v Uber Techs Inc. (2023) 14 Cal. 5th 1104. Defendant shall submit a Proposed Order by July 24, 2026, conforming to this ruling.

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In the absence of any substantively unconscionable provisions here, the Court finds that the arbitration agreement is enforceable and no severance is required. Civil Code § 1670.5; Ramirez v Charter Communications, supra; 9 U.S.C.A. § 2; Code of Civil Procedure Section 1281.2

Accordingly, Defendant's Motion is hereby granted.

Plaintiff's individual claims are hereby compelled to arbitration, Plaintiff's putative class claims are dismissed, and this matter is stayed pending the conclusion of said arbitration. 9 U.S.C.A. § 3; Civ Proc. Code § 1281.4; Adolph v Uber Techs Inc. (2023) 14 Cal. 5th 1104.

Defendant shall submit a Proposed Order by July 24, 2026, conforming to this ruling.